in the chair, appreciated. If the G20 at Bali had collapsed without a statement, it would have been double the work during our presidency." Now, as chair of the G20, India is moving away from having to take a position to playing a bigger role in trying to reach a peace settlement. Russia, though, seems intent on bringing Ukraine to its knees, conducting debilitating missile strikes on its infrastructure. So, finding ways to de-escalate the situation will be a tough task. However, if India can bring a modicum of settlement during its G20 tenure, it will be a major achievement. Varma's advice: "We need to have the stamina and pace of a football referee to keep running from one end of the ground to the other without tiring. Nobody knows how the war will play out, but it is important for India to be in the game."

DEFUSING THE DEBT BOMB

The other major issue that India will have to preside over is defusing the global debt bomb. According to the World Bank's 2022 annual report, more than 70 low-income countries besides a dozen other middle-income ones face a serious sovereign debt crisis. India does not have far to look—its neighbours Sri Lanka and Pakistan exemplify how this can lead to financial collapse and political instability. With global recession looming, the Bank fears the situation will get even worse. India is pushing for the G20 to develop a financial toolkit to deal with the collective impact of transnational issues such as climate change, public health and migration. One key part of that will be to try and restructure and overhaul the norms for lending and borrowing from international financing institutions such as the World Bank, the International Monetary Fund and other multilateral development banks (MDBs) to enable countries to access adequate funds to overcome financial stress.

The other is to get private investment to fund projects for global public good for developing countries, including their energy transition from fossil fuels to renewable sources. Private investors will not bite unless they see good returns and feel secure. Experts, therefore, suggest that MDBs set up innovative financing mechanisms such as providing private players loan guarantees in much the same ways as the Multilateral Investment Guarantee Agency (MIGA) set up by the World Bank does. The agreement to establish a Loss and Damage Fund at the recent COP27 climate change summit at Sharm El-Sheikh in Egypt is seen as a major step towards advanced countries compensating developing ones for the damage global warming is causing, as witnessed recently in floods in Pakistan or the major droughts that afflicted many parts of Africa. While participating countries agreed to the fund in principle, the norms and modalities can be evolved at the G20 working groups on climate change and sustainable development, which will be meeting in India.

Implementing what are called the Two-Pillar international tax agreements under the Global Anti-Base Erosion Model Rules prescribed by the Organisation for Economic Cooperation and Development (OECD) in October 2021 is another significant issue on which India hopes to make progress. Pillar One is meant to ensure a fairer distribution of profits and taxing rights for many countries, including India, that have giant multinational enterprises (MNEs) like Amazon and Walmart regardless of whether they have a physical presence in the jurisdiction in which they do business. In a complex formula, MNEs with global sales above €20 billion ($20.7 bn) must reallocate 25 per cent of their total profits over a 10 per cent threshold to the market jurisdiction they operate in. This will result in a reallocation of more than $125 billion annually, with developing countries expected to gain more revenue than advanced ones.

ENDING THE TAX HAVENS

Pillar Two looks at tax havens like Ireland, Singapore, Cayman Islands and a dozen others that offer much lower tax rates than most countries. OECD countries have agreed that MNEs with a revenue of above €750 million ($777 mn) will be subjected to a global minimum tax rate of 15 per cent. The global minimum tax agreement is not designed to eliminate tax competition but to put limits. This will see countries, including India, collect around $150 billion in new revenue annually. With G20 endorsing both these decisions, India will during its presidency work towards ironing out the remaining issues concerning them, including signing a multilateral instrument that will pave the way for their implementation. "Initially," says a senior Indian official, "India may get around Rs 4,000 crore, but it is the way forward and will grow with the economy. It will be a major benefit for other developing countries too." The US and other countries, though, may find it difficult to get their respective legislatures to endorse the same, which could delay the process.

As for trade, the pandemic exposed the vulnerability of

SAYING IT WITH ART

From Madhubani on coffee mugs to Kani on water bottles, traditional Indian craft will find representation in G20 memorabilia



KANI
J&K



PATAN PATOLA
Gujarat





CHIKANKARI
Lucknow

MADHUBANI
Bihar